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Don't put all your eggs in the same basket

We touched upon this topic in one of the earlier sections of the book when we talked about how your portfolio should have diversified investment in multiple asset classes.

It is especially important to diversify your equity investments. Debt investments should also be diversified to reduce risk. This essentially means that you should not have all your fixed deposits with one bank or a single fund house.

Investing in mutual funds is a good way to divide your risks as the fund managers typically invest in a variety of stocks across multiple industries. Similarly, on the debt side, investing in FMPs or a debt based mutual fund is one of the best ways to hold a diversified portfolio. While diversifying, make sure that you do not overcomplicate things. To hold more than 2 or 3 bank accounts and maintain them can be an uphill task. Of course, once you have become financially free, you can afford to keep a financial planner who can manage this on your behalf, but till that time, my suggestion would be to follow the guidelines given below in general.

Bank accounts (Savings)	: 2 to 3 banks
Bank deposits (FDs, RDs)	: 2 to 3 banks
Mutual funds	: 3 to 4 fund companies
FMPs	: 2 to 3 fund companies
Stocks	: 10 to 20 stocks
EPF/PPF/VPF/Gratuity/SA	: 1
Gold/Commodities	: 1 to 2 securities
Life insurance	: 1 to 2 insurance providers

The above guidelines are in no way cast in stone. But my experience is that if you move too far from these guidelines, the complexity and time